

HOW TO LOOK FOR BIRD POOP

Popper's prediction about the predictors—Poincaré plays with billiard balls—Von Hayek is allowed to be irreverent—Anticipation machines—Paul Samuelson wants you to be rational—Beware the philosopher—Demand some certainties.

We've seen that a) we tend to both tunnel and think “narrowly” (epistemic arrogance), and b) our prediction record is highly overestimated—many people who think they can predict actually can't.

We will now go deeper into the unadvertised structural limitations on our ability to predict. These limitations may arise not from us but from the nature of the activity itself—too complicated, not just for us, but for any tools we have or can conceivably obtain. Some Black Swans will remain elusive, enough to kill our forecasts.

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In the summer of 1998 I worked at a European-owned financial institution. It wanted to distinguish itself by being rigorous and farsighted. The unit involved in trading had five managers, all serious-looking (always in dark blue suits, even on dress-down Fridays), who had to meet throughout the summer in order “to formulate the five-year plan.” This was supposed to be a meaty document, a sort of user's manual for the firm. A five-year plan? To a fellow deeply skeptical of the central planner, the notion was ludicrous; growth within the firm had been organic and unpredictable, bottom-up not top-down. It was well known that the firm's most lucrative department was the product of a chance call from a customer asking for a specific but strange financial transaction. The firm accidentally realized that they could build a unit just to handle these transactions, since they were profitable, and it rapidly grew to dominate their activities.

The managers flew across the world in order to meet: Barcelona, Hong Kong, et cetera. A lot of miles for a lot of verbiage. Needless to say they were usually sleep-deprived. Being an executive does not require very developed frontal lobes, but rather a combination of charisma, a capacity to sustain boredom, and the ability to shallowly perform on harrying schedules. Add to these tasks the “duty” of attending opera performances.

The managers sat down to brainstorm during these meetings, about, of